

26CV03718 Nojoqui Falls Ranch Limited Partnership vs Erik Mallea et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-06-26

Motion: Hearing Authorizing Sale

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Tentative Ruling: Nojoqui Falls Ranch Limited Partnership vs Erik Mallea et al

Case Number

26CV03718

Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 06/26/2026 - 10:00

Nature of Proceedings

Hearing Authorizing Sale

Tentative Ruling

For the reasons set forth herein, plaintiff's application for order authorizing sale of livestock is denied.

Background:

This action was commenced on June 4, 2026, by the filing of the complaint by plaintiff Nojoqui Falls Ranch Limited Partnership (the "Ranch") against defendants Erik Mallea ("Mallea") and Amber Giorgi ("A. Giorgi") (collectively "defendants") for (1) Enforcement of Lien; (2) Quantum Meruit; and (3) Account Stated.

As alleged in the complaint:

Defendants jointly own a herd of cattle of approximately 62 cows, 2 bulls, and 54 calves. (Compl., ¶ 11.) Defendants' cattle are branded with Brand No. A 075407 (the "Brand").

In June or July 2019, the Ranch entered into an oral agreement with defendants that permitted defendants to graze their herd of cattle on lands owned and leased by the Ranch. (Compl., ¶ 13.) Pursuant to the agreement, defendants would not owe the Ranch pasture rent for the first two years to help defendants build equity in their newly acquired herd. (Ibid.) The parties agreed that following those two years, the Ranch and defendants would enter into a standard grazing lease to cover pasture rent, insurance, and other items normally found in a cattle lease. (Ibid.)

As security for the oral agreement and any future debts, the Ranch had William T. Giorgi ("W. Giorgi" or "Bill"), a limited partner of the Ranch, retain the Brand in his name. (Compl., ¶ 14.)

In June or July 2021, at the conclusion of the two year period, the parties entered into an oral agreement whereby defendants would owe the Ranch pasture rent to maintain and gaze the herd on Ranch owned and leased properties at standard market rate for pastureland in the region. (Compl., ¶ 15.) Defendants have failed to pay pasture rent and livestock service charges and have not made any progress payments to date. (Id. at ¶ 16.)

On December 13, 2021, pursuant to the parties' agreement, the Ranch reminded defendants that pasture rent charges would apply and requested that the parties enter into a written lease. (Compl., ¶ 17 & Exh. B.) [Note: Exhibit B is an email from W. Giorgi to A. Giorgi with Mallea cc'd and the subject is: "Re: Nojoqui Horse Ranch lease." It is unclear if Nojoqui Horse Ranch is the same entity as Nojoqui Falls Ranch.]

Despite subsequent repeated requests, the parties have not executed a written lease. (Compl., ¶ 18.) Nevertheless, the Ranch continued to provide grazing, feeding, care, and management services to the Herd continuously from 2019 to the present. (Id. at ¶ 19.)

The Brand remains in W. Giorgi's name as security for outstanding debt for pasture rent and livestock services owed to the Ranch and defendants cannot sell cattle under the Brand without W. Giorgi's participation in the brand inspection certificate process and W. Giorgi's consent or authorization. (Compl., ¶ 20.)

The Ranch served defendants a Notice of Livestock Service Lien on May 6, 2026. (Compl., ¶ 25 & Exh. C.)

Defendants have sought return of the Herd in connection with marital dissolution proceedings, but defendants have not satisfied the Ranch's lien, nor have defendants permitted the Ranch to sell marketable cattle from the Herd to satisfy the lien, nor have defendants jointly agreed to release interest in an amount of cattle from the Herd to the Ranch to satisfy the lien. (Compl., ¶ 28.)

Prior to either defendant being served with the summons and complaint, on June 8, 2026, the Ranch filed an ex parte application for order authorizing sale of livestock. On June 9, 2026, the court continued the matter for a properly noticed hearing and set a briefing schedule.

On June 12, 2026, the Ranch re-filed the application for order authorizing sale of livestock, as a noticed motion, with a hearing date of June 26, 2026. By way of the application, the Rance seeks an order providing"

"1. Plaintiff is hereby ordered and authorized to round up, transport, and enter for immediate public sale all market-ready calves, any open cows, and one aged bull having Brand No. A 075407, in bulk or in parcels, via public auction at Visalia Livestock Market, 733 North Ben Maddox Way, Visalia, CA 93277 on any or all of the currently scheduled sale dates of Wednesday, June 10, 2026 or Wednesday, June 17, 2026 or Wednesday, June 24, 2026 on any good faith terms and in a commercially reasonable manner. [Note: All of the dates in the proposed order have passed.]

"2. Plaintiff may sell the livestock referenced in the previous paragraph in its existing condition or following commercially reasonable preparation or processing.

"3. "Plaintiff may deduct and retain funds from the sale proceed in an amount sufficient to compensate Plaintiff services provided to the livestock from the date that the Plaintiff's lien arose until the date of sale, including for the costs of transporting and preparing the livestock for sale and of conducting the sale.

"4. "The remaining proceeds of the sale shall be deposited with the clerk of the court in an interest-bearing account to abide the judgment in the action. (Proposed Order After Hearing.)

Having been served with the application, as well as the summons and complaint, on June 18, 2026, Mallea filed his opposition to the application arguing that the Ranch cannot establish the probable validity of its claim or lien, that the Ranch has failed to demonstrate that it will suffer great or irreparable injury, that equities favor denial, that even if Mallea owned money to the Ranch he would be entitled to an offset, and that the Ranch seeks to authorize a sale for an improper purpose.

On June 18, 2026, A. Giorgi filed a declaration in support of the Ranch's application.

It is relevant to the present application that A. Giorgi is W. Giorgi's daughter and that on November 26, 2025, A. Giorgi filed a petition for dissolution of her marriage to Mallea.

Analysis:

Livestock Service Liens are governed primarily by Civil Code section 3080 et seq.

"As used in this chapter, the following definitions shall apply:

"(a) " 'Livestock' " means any cattle, sheep, swine, goat, or horse, mule, or other equine.

"(b) " 'Livestock servicer' " means any individual, corporation, partnership, joint venture, cooperative, association or any other organization or entity which provides livestock services.

"(c) " 'Livestock services' " means any and all grazing, feeding, boarding, general care, which includes animal health services, obtained or provided by the livestock servicer, or his employee, transportation or other services rendered by a person to livestock for the owner of livestock, or for any person acting by or under the owner's authority." (Civ. Code, § 3080.)

"A livestock servicer shall have a general lien upon the livestock in its possession to secure the performance of all obligations of the owner of the livestock to the livestock servicer for both of the following:

"(a) The provision of livestock services to the livestock in possession of the livestock servicer.

"(b) The provision of livestock services to other livestock for which livestock services were provided in connection with or as part of the same livestock service transaction, if such livestock services were provided within the immediately preceding 12 months prior to the date upon which the lien arose. The lien shall have priority over all other liens upon and security interests in the livestock, shall arise as the charges for livestock services become due, and shall be dependent upon possession. The

lien shall secure the owner's contractual obligations to the lienholder for the provision of livestock services, the lienholder's reasonable charges for the provision of livestock services after the lien has arisen as set forth in Section 3080.02, and the lienholder's costs of lien enforcement, including attorney's fees." (Civ. Code, § 3080.01.)

"Upon the filing of the complaint, or at any time thereafter prior to judgment, the lienholder may apply to the court in which the action was commenced for an order authorizing sale of livestock.

"(a) The application shall include all of the following:

"(1) A statement showing that the sale is sought pursuant to this chapter to enforce a livestock service lien;

"(2) A statement of the amount the lienholder seeks to recover from the defendant and the date that amount became due;

"(3) A statement setting forth the reasons why a sale should be held prior to judgment;

"(4) A description of the livestock to be sold and an estimate of the fair market value thereof; and

"(5) A statement of the manner in which the lienholder intends to sell the livestock. The statement shall include, but not be limited to, whether the sale will be public or private, the amount of proceeds expected from the sale, and, why the sale, if authorized, would conform to the standard of commercial reasonableness set forth in Section 3080.16.

"(b) The application shall be supported by an affidavit or affidavits showing that on the facts presented therein the lienholder would be entitled to a judgment on the claim upon which the action is brought.

"(c) A hearing shall be held in the court in which the lienholder has brought the action before an order authorizing sale is issued under this chapter. Except as provided in Section 3080.15, or as ordered by the court upon good cause shown, the defendant shall be served with a copy of all of the following at least 10 days prior to the date set for hearing:

"(1) A summons and complaint;

"(2) A notice of application and hearing; and

"(3) An application and all affidavits filed in support thereof." (Civ. Code, § 3080.03.)

Here, the Ranch has adequately complied with the procedural requirements of Civil Code section 3080.03)

"(a) At the hearing, the court shall consider the showing made by the parties and shall issue an order authorizing the sale of the livestock if it finds all of the following:

"(1) The claim upon which the lienholder's action is based is a claim giving rise to a lien upon which an order authorizing sale may be issued under this chapter;

"(2) The lienholder has established the probable validity of the claim upon which the action is based;

“(3) The lienholder has established the probable validity of the lien sought to be enforced by sale;

“(4) The sale is necessary to prevent a possible decline in the value or condition of the livestock or that the sale should be held in the interest of equity;

“(5) The sale is not sought for a purpose other than the recovery on the claim upon which the lien is based; and

“(6) The sale, if conducted in the manner set forth in the application, would be conducted in a commercially reasonable manner.” (Civ. Code, § 3080.06, subd. (a), *italics added*.)

First Factor:

The Ranch argues that it provides grazing, feeding, animal health services, and general care for the Herd and that it has a statutory lien against defendants pursuant to Civil Code section 3080.01.

To briefly address the Ranch's argument that W. Giorgi retaining the Brand is proof of a valid lien: The court finds it entirely speculative that the retention of the Brand was for any particular purpose. This was a family matter and there could be any number of reasons why those involved would agree that W. Giorgi should retain the Brand. Having said that, it is irrelevant for the purposes of the present application. As the Ranch acknowledges, ownership is not required to assert a lien. (Reply, p. 5, ll. 18-20.)

Mallea argues that the Ranch does not have a valid lien for reasons including that he does not have any business relationship with the Ranch. Rather, he argues that any business relationship is with W. Giorgi as an individual. Mallea also states that neither the Ranch nor W. Giorgi managed the cattle, the Ranch had no employees who managed the cattle, and that the Ranch does not own the equipment necessary to perform cattle management activities. (Mallea decl., ¶ 7.)

W. Giorgi declares that he is a limited partner of the Ranch and manager of Nojoqui Falls Ranch, LLC, which is the general partner of the Ranch. (W. Giorgi decl., ¶ 1.) The ranch lands are owned by the Ranch and total approximately 870.66 plus acres. (Id. at ¶ 3.)

The Ranch has leased and continues to lease, as successor in interest, certain additional nearby parcels from friends and family for cattle grazing. (W. Giorgi decl., ¶ 4.)

Defendants have jointly failed to pay for pasture rent and any livestock services to the Partnership following expiration of the initial grace period. (W. Giorgi decl., ¶ 15.)

Some of the claimed services do not appear, based on the evidence before the court, to be attributable to the Ranch. Instead, they appear to be attributable to W. Giorgi as an individual. For example, W. Giorgi declares: “Since 2019, I have continuously provided essential livestock services to the Herd, including but not limited to (i) daily herd monitoring and health assessments; (ii) water system inspection and maintenance; (iii) feed and pasture rotation management; (iv) disease prevention and treatment (including worming and vaccinations); (v) responding to escaped or endangered livestock; (vi) market timing and sale planning; (vii) instruction and showing how to artificially breed the cows and heifers; and (viii) guidance on how to select bull semen for the best traits to improve cow-calf production and the Ranch.” (W. Giorgi decl., ¶ 16.) The declaration does not state that W. Giorgi was performing these services on behalf of the Ranch.

Pursuant to the declaration, and lack of denial on the part of Mallea, it does appear that the Ranch would be a lienholder as a livestock servicer pursuant to Civil Code section 3080, specifically as an entity that provides grazing land. However, the value of that lien, if any, is in dispute. There is evidence, from both sides, that the Herd grazes on approximately 20 parcels of land and that the Ranch only owns a small number of those parcels. The declarations that the Ranch provided in conjunction with their reply brief, regarding other landowners' deals with the Ranch to allow grazing on their respective properties and charge rent, does not establish, without more, that the Ranch has a lien for the grazing services on those lands. Generally, a lien against livestock will not arise where someone without the authority of the owner contracts for the livestock services. (see *Lowe v. Woods* (1893) 100 Cal. 408.)

Accordingly, and again based only on the evidence that the court has before it, it does not appear that the claimed amount of the lien is reflective of what defendants actually owe to the Ranch.

In short, the Ranch has made a showing that it has at least a minimal right to claim a lien on the Herd by virtue of allowing the Herd to graze on its land. As such, it has satisfied the first factor of Civil Code section 3080.06, subdivision (a).

Second Factor

The second factor that the court must assess is whether the Ranch's claims have probable validity.

"A claim has 'probable validity' where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (Code Civ. Proc., § 481.190.)

While there is little case authority applying the provisions of Civil Code section 3080 et seq., the Court finds that the requirements for authorization of a sale of livestock pursuant to a livestock service lien are very similar to the requirements for writs of attachment.

A writ of attachment is a creditor's remedy for the breach of a contract calling for the payment of money. In general, the effect of an attachment is to create a lien or encumbrance, or a quasi-lien of a limited nature on the property attached. The property attached is then held to satisfy the judgment.

A court will issue a writ of attachment if it finds (1) the claim upon which the attachment is based is one upon which an attachment may be issued, (2) the plaintiff has established the probable validity of the claim upon which the attachment is based, (3) the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based, and (4) the amount to be secured by the attachment is greater than zero. (Code Civ. Proc., § 484.090, subd. (a).) In this context, the court determines the probable validity of the claim by "consider[ing] the relative merits of the respective parties and mak[ing] a determination of the probable outcome of the litigation." (*Loeb & Loeb v. Beverly Glen Music, Inc.* (1985) 166 Cal.App.3d 1110, 1120, (*Loeb & Loeb*)). As the language and the purpose of Civil Code section 3080.06 is similar to Code of Civil Procedure section 484.090, subdivision (a), the court will apply the analytical framework outlined in *Loeb & Loeb*, supra, to determine the probable validity of the Ranch's claims. The court will examine and consider the relative merits of the action and will make a determination of the probable outcome of the litigation. See *Loeb & Loeb*, 166 Cal.App.3d at 1120. As with writs of attachment, this requires more than simply finding that the Ranch's claims have been pled with sufficient adequacy. The Court must determine whether it is more likely than not that the Ranch will prevail on its claims.

Although not captioned as such, the Ranch's complaint in this matter is essentially for breach of an alleged oral contract that allowed defendants to graze their Herd on lands owned and leased by the Ranch rent free, for two years, and thereafter defendants were to enter into a standard grazing lease. (Compl, ¶¶ 13, 14, 44.)

"The elements of a breach of oral contract cause are: " '(1) existence of the contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) damages to plaintiff as a result of the breach.' " [Citations.] " (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230.)

In support of its argument regarding the existence of an oral contract, W. Giorgi declares:

“On or around June or July 2019, when I was at the age of 69, Amber Giorgi (‘Amber’) and her husband Erik Mallea (‘Erik’) purchased and took over the cattle operation and the subject herd as I had done from my father when I graduated from Cal Poly in 1973.” (W. Giorgi decl., ¶ 7.)

“When Amber and Erik took over the cattle operation in June or July 2019, we all three agreed that they would be responsible for expenses and liability related to the herd, but that I would help continue overseeing the daily operation. The Partnership agreed to allow Amber and Erik to graze the herd on the Partnership owned Ranch and Leased Pasture without requiring them to pay pasture rent for the first two years of their operation (the ‘grace period’) so that they could build some equity in the cattle herd by selling the calves and cull cows those first two years.” (W. Giorgi decl., ¶ 9.)

“This grace period was structured as a temporary business launch incentive, not a permanent or indefinite gift. The express understanding of this agreement was that a fair-market pasture rent lease would commence immediately upon the expiration of the grace period on or around June 2021 to cover the years for pasture rent, number of cattle, insurance and other things normally found in a cattle lease.” (W. Giorgi decl., ¶ 10.)

“Following expiration of the grace period on or around June 2021, the Herd continued to be grazed and managed on the Ranch and Leased Pasture with the understanding that grazing fees and any livestock services would be compensated to the Partnership at market rates, but Amber and Erik did not make any payment for pasture rent to the Partnership.” (W. Giorgi decl., ¶ 12.)

“As a result, I asked for a written cattle lease to be put in place between the Partnership and Amber and Erik by written electronic mail dated December 13, 2021, attached as Exhibit C.” (W. Giorgi decl., ¶ 13.)

The Exhibit C that W. Giorgi refers to is, as stated above, an email from W. Giorgi to A. Giorgi with Mallea cc’d and the subject is: “Re: Nojoqui Horse Ranch lease.” It is unclear if Nojoqui Horse Ranch is the same entity as Nojoqui Falls Ranch. The portion of the email emphasized by the Ranch states: “We need to get a lease in place probably between you and me regarding the cattle. My old lease for NHR seems to have disappeared, so we need to do that too. You now have two years of income from the cows, so I hope it has worked out well for you. I figured the interest charges and pasture rent you pay would create a deductible expense for you, along with the cows being a depreciable asset. You would probably need to amend your 2020 tax return for the depreciation for that year. I got paid nothing, so there wouldn’t be any income to me. You would need to add everyone onto your insurance as additionally insured as to your cattle operation.”

Other than his own testimony and the email, there is no other evidence of an oral contract. The email itself is, at best, vague as to any lease terms. It cannot be determined whether the lease W. Giorgi suggests is a lease between the Ranch and defendants or if it is a lease agreement between defendants and W. Giorgi individually. It is even possible that it refers to a lease for grazing rights to a separate third-party’s property.

While not an exhaustive list, facts that make the existence of a contract suspect include:

From the date that defendants were allegedly to have begun paying the Ranch, June 2021, the Ranch did nothing to enforce the oral contract until the filing of the present action on June 4, 2026.

The Ranch has not provided the court with any lease that it alleges was presented to defendants, nor is there any evidence of a meeting of the minds regarding lease terms.

The Ranch has not provided the court with any invoices or bills that it alleges defendants are responsible for.

The timing of the application is also suspect. By way of emails, and other evidence, Mallea has established that he and A. Giorgi (W. Giorgi's daughter) began divorce mediation in October 2025. Approximately one month later, W. Giorgi offered to buy Mallea's half of the Herd. When Mallea refused to sell the cattle, W. Giorgi banned him from the Ranch. Shortly thereafter, on January 11, 2026, the Ranch sent Mallea a bill (the first bill Mallea ever received from the ranch) for grazing rent in the amount of \$22,713.60 representing grazing rent for 2025-2026. On January 13, 2026, Mallea again declined W. Giorgi's request to purchase the cattle and on February 12, 2026, the Ranch sent a revised demand, going back to 2021, in the amount of \$110,256.00. On May 6, 2026, Mallea received another revised demand, adding in cattle management fees, in the total claimed lien amount of \$181,493.50.

In opposition to the application, Mallea denies the existence of an oral contract to enter into a grazing or livestock management lease and declares:

"In addition to managing our cattle, Amber and I had an informal, mutually beneficial arrangement with Bill as an individual. Under this arrangement, we provided labor and equipment for the maintenance of Bill's personal property and Ranch infrastructure, without compensation, as family members contributing to a shared enterprise. We were not compensated in money for doing so. We also paid for shared Ranch utilities, including electricity and trash service, out of our own funds. To my understanding this was in effect a quid-pro-quo exchange for permission for us to keep our cattle and let our cattle graze on property owned by Plaintiff and/or Bill." (Mallea decl., ¶ 8.)

"It was my understanding throughout this entire period that the right to graze our cattle on the Ranch's land was granted to us (a) gratuitously, as a gift among family members, and/or (b) in exchange for and in recognition of the substantial labor, equipment, and financial contributions Amber and I made to the Ranch." (Mallea decl., ¶ 9.)

"In the entire seven-year period from 2019 through 2026, no written lease was ever signed between me, Amber, and either Bill individually or the Ranch. No lease terms were ever proposed to me or negotiated. I was never presented with a draft lease, a term sheet, or any proposed rate schedule. I never agreed to any lease terms, orally or in writing, or by implication." (Mallea decl., ¶ 10.)

"In the entire seven-year period, I never received a single rent bill, invoice, or statement of account from Bill or the Ranch for grazing fees or pasture use." (Mallea decl., ¶ 11.)

The court concludes that the Ranch does not satisfy the second factor of Civil Code section 3080.06, by failing to show the probable validity of the claim upon which the action is based. As such, the application fails.

Additionally, the Ranch fails to provide sufficient evidence that "[t]he sale is necessary to prevent a possible decline in the value or condition of the livestock or that the sale should be held in the interest of equity." (Civil Code, § 3080.06, subd. (a)(4).) W. Giorgi is clearly very well versed in cattle management. By way of his declaration, he explains the seasonal nature of pasture lands and how the quality and quantity of various food sources affect cattle, which in turn affects market classification and resulting price at sale. However, W. Giorgi does not point to any factors that tend to show that a sale is necessary. The language used in the declaration is almost entirely speculative as to what might happen.

While the evidence before the court is limited because discovery has not commenced and the case is in its earliest stage, the court finds that it is more likely than not that the Ranch will not prevail on its claims. Therefore, the Ranch's claims do not have probable validity. The application will be denied.

The court emphasizes that none of these findings is binding for purposes of a determination on the merits nor are any findings dispositive conclusions relating to any issue or claim. Any findings made herein are for the limited purpose of assessing the probable validity of the Ranch's claims under Civil Code section 3080.06.

Judges

Judge Donna D. Geck

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